OPERATING AGREEMENT
BETWEEN AVT AND PPS FOR
DR. MATTHEW PROPHET EDUCATION CENTER

This Operating Agreement ("**Agreement**"), dated [INSERT DATE], is executed by and between **SCHOOL DISTRICT NO. 1J, MULTNOMAH COUNTY, OREGON**, a public school district organized under the laws of the State of Oregon ("**PPS**"), owner of the Dr. Matthew Prophet Education Center located at 501 N. Dixon St., Portland, OR 97227, located on the real property legally described on **Exhibit A** to this Agreement ("**PEC**"), which it uses as a headquarters, warehouse, and multiple operational functions, and the **ALBINA VISION TRUST, INC.**, an Oregon nonprofit corporation ("**AVT**"), which desires to acquire the PEC. This Agreement outlines the terms and conditions under which PPS and AVT (each, a "**Party**", and collectively, the "**Parties**") will work together in pursuit of the outcomes listed in PPS Board of Education ("**Board**") Resolution No. 6861 ("**Resolution 6861**"), attached as **Exhibit B** to this Agreement, and the recitals of this Agreement.

RECITALS:

WHEREAS, AVT desires to acquire PEC from PPS and PPS desires to convey PEC to AVT in exchange for the payment or payments to cover all costs incurred by PPS to purchase, improve, and relocate current PEC functions to one or more sites ("**Transaction**" or **Transactions**);

WHEREAS, Resolution 6861 requires that PPS and AVT enter into an Operating Agreement to define the roles and responsibilities of the Parties with respect to the Transactions and set forth the terms of approval and reimbursement of costs incurred by PPS in complying with Resolution 6861; and

WHEREAS, this Agreement is intended to define the roles and responsibilities of the Parties and to provide for the terms of approval and reimbursement of certain costs incurred by PPS, as set forth herein, in anticipation of the Transactions, subject to APA or APAs;

NOW, THEREFORE, in consideration of the mutual covenants contained in this Agreement, the sufficiency of which is hereby expressly acknowledged, the Parties hereby agree as follows:

OBLIGATIONS:

ARTICLE 1 - GENERAL AGREEMENT TERMS

Section 1.01. Making of Agreement and Complete Relocation Costs.

Subject to the terms and conditions of this Agreement, AVT shall pay or reimburse all costs associated with PPS's:

(1) Determination of PEC-replacement criteria, as later addressed in this Agreement;

(2) Search for and identification of Relocation Sites, as later defined in this Agreement;

(3) Acquisition and improvement of the chosen Relocation Sites to meet Minimum Requirements and Desired Features associated with the chosen Relocation Sites, as later defined in this Agreement;

(4) Acquisition of all FFE (defined below) required for PPS's operations at the Relocation Site that is not moved from PEC, and disposal of or recycling any FFE at PEC that is not moved to the Relocation Sites;

(5) Move to Relocation Sites, including any temporary Relocation Sites that may be required, as later addressed in this Agreement;

(6) Termination/buyout of that certain Real Property Agreement by and between PPS and Multnomah County for lease of space within PEC, dated June 8, 2000, and as amended June 1, 2001, and December 1, 2008 (the "**County Lease**");

(7) Any other actions required by this Agreement or mutually agreed as necessary to complete the disposition and acquisition of the PEC and Relocation Sites and PPS's improvement of and relocation to the Replacement Sites.

The costs set forth in (1) – (7) above, and such other costs as may be incurred pursuant to this Agreement and to comply with Resolution 6861, are collectively referred to herein as the "**Complete Relocation Costs**".

Section 1.02. Relocation Sites.

"**Relocation Sites**" are defined as the one or more parcels of real property and improvements selected by PPS and reasonably agreed to by AVT for relocation from PEC of PPS's administrative headquarters and warehouse, operational and all other functions.

Section 1.03. Cost-Neutral Transaction.

The Parties have agreed that the Complete Relocation Costs associated with Relocation Sites and the disposition of PEC to AVT and any other transaction or expense required to complete the Transactions contemplated by this Agreement, shall be on an all-in cost-neutral basis for PPS. As used herein, "**all-in cost-neutral**" means that PPS shall incur no material out-of-pocket costs in association with the Transactions other than short-term expenditures that are subject to reimbursement pursuant to the terms of this Agreement, and there shall be no material financial difference to PPS whether PPS retains and continues operations from PEC or acquires and relocates to the Relocation Sites. AVT shall pay Complete Relocation Costs as set forth in this Agreement, and, in consideration thereof and as set forth in the PEC Purchase and Sale Agreement, as defined below, PPS shall convey PEC to AVT.

ARTICLE 2 – DEVELOPMENT OF WORK PLAN.

Section 2.01. Work Plan Requirement.

The Parties shall cooperate in good faith to develop a mutually acceptable Work Plan, as described in Resolution 6861, which includes PPS's Minimum Requirements that the Relocation Sites must satisfy, Desired Features (acknowledging that the ultimately selected and approved Relocation Sites may not include all Minimum Requirements or Desired Features), details and deadlines for the milestones described in Section 3.02 below, and such other matters as the Parties may elect to include in the Work Plan to accomplish the purposes of Resolution 6861. It is intended that the Work Plan will be dynamic and subject to change with the mutual reasonable approval of both Parties to reflect new information and other evolving aspects of the Transactions over the course of the Transactions.

Section 2.02. Minimum Requirements.

The Relocation Sites shall meet minimum requirements established by PPS and approved by the Board ("**Minimum Requirements**"). The Minimum Requirements are intended as the minimum "must-have" features that establish baseline requirements for Relocation Sites that reflect the current functionality of PEC operations in order to replace the functions that are currently housed within the PEC.

Section 2.03. Desired Features.

Additional desired features separate from the Minimum Requirements ("**Desired Features**") may also be established by PPS and utilized in selecting, designing, and improving the Relocation Sites, but will not be strictly required of any particular Relocation Site as determined by PPS, subject to Section 2.04 below and the mutually approved Overall Budget (as defined in Section 6.01 below). Desired Features associated with agreed-to Relocation Sites shall be included in Complete Relocation Costs.

Section 2.04. Framework of Minimum Requirements and Desired Features.

This framework is intended to ensure that the Relocation Sites satisfy the Minimum Requirements and such Desired Features as may be determined to be available during the site selection process. PPS recognizes that no Relocation Site is likely to possess all Minimum Requirements and Desired Features, and that substantial improvements and building renovations and/or additions may be required to meet the Minimum Requirements and available Desired Features. The Parties acknowledge and agree that, as conditions to PPS's commitment to vacate PEC and convey PEC to AVT, the Relocation Sites shall meet the Minimum Requirements to PPS' satisfaction; the Transactions and are confirmed to be all-in cost-neutral to PPS and are approved by the Board in its sole discretion; the Relocation Sites are acquired, improved and furnished to PPS's specifications; and PPS shall have completed its relocation to the Relocation Sites unless otherwise agreed to by the Parties. The Parties intend that PPS is able to relocate on an all-in cost-neutral basis to PPS to facilities that are at least functionally comparable to its current PEC operations.

Section 2.05. Current Furnishings and Equipment in PEC.

The Parties agree that furnishings, movable fixtures, equipment and other personal property ("**FFE**") should be moved from PEC to the Relocation Sites if the cost to move such FFE is less than the cost to acquire new FFE for the Relocation Sites, taking into account the remaining useful

life of existing FFE. The cost of acquisition, relocation and disposal of FFE, as applicable, shall be included in Complete Relocation Costs as one or more Budget Categories in the Overall Budget (as described below).

ARTICLE 3 – COOPERATION AND REGULAR MEETINGS.

Section 3.01. Meeting Requirement.

The Parties shall work together reasonably and in good faith to deliver the objectives of Resolution 6861 and meet regularly on a mutually agreeable schedule to develop and execute the Work Plan. This cooperation will be accomplished (where practical) through shared briefings from members of the Parties' teams, as well as by shared attendance, in substantive meetings or calls with third parties engaged to assist in the Transactions contemplated by this Agreement.

Section 3.02. Milestones.

At certain milestones in the Work Plan, noted below or as indicated in the final Work Plan (as it may be revised as provided in Section 2.01), the Parties' administrative leadership will meet to confirm the status of the Work Plan and agree on the prioritization of next steps in the Work Plan in consultation with any relevant Third Parties (defined below) engaged to assist in those transactions. The anticipated milestones for the relocation of the PEC functions for inclusion in the Work Plan Include:

(1) AVT's Due Diligence on PEC;

(2) Development of Plan and Timeline for Compliance with PPS Policies for Disposal of Surplus Property as They Apply to the Transfer of PEC to AVT;

(3) Establish Minimum Requirements and Desired Features;

(4) Establish Process for Site Evaluations (for those identified by RFP and otherwise);

(5) Preparation and Issuance of a Property Search RFP;

(6) Evaluate RFP Responses and Establish Top Site Selection List;

(7) Assess Sites and Select Preferred Site Locations;

(8) Evaluate existing FFE in PEC for either moving to Relocation Sites or disposal;

(9) Development of an Overall Budget and Budget Categories for Acquiring, Developing and Moving to Relocation Sites;

(10) Negotiation and execution of a Letter of Intent setting forth the business terms between AVT and PPS upon which a purchase and sale agreement for the transfer of PEC from PPS to AVT ("**PEC Purchase and Sale Agreement**") shall be developed;

(11) Negotiation and Execution of Letters of Intent with Sellers of Relocation Sites;

(12) Negotiation and Execution of PEC Purchase and Sale Agreement, Which Shall Include Timing of Transfer and Sources of Funds;

(13) Negotiation and Execution of Purchase and Sale Agreements with Sellers of Relocation Sites;

(14) PPS's Due Diligence on Each Relocation Site;

(15) Development of Plans for Improvement of Selected Relocation Sites and Related Permitting;

(16) Relocation Plan and Timeline Development, Including Timeline for Negotiations concerning the County Lease; and

(17) Improvement of Relocation Sites and Relocation.

ARTICLE 4 – FEASIBILITY OF RELOCATION SITES AND PEC.

Section 4.01. PPS's Duties Regarding Due Diligence on Relocation Sites.

PPS shall exercise commercially reasonable efforts to perform due diligence as necessary to assess initial feasibility on potential Relocation Sites (the "**Due Diligence**") as determined by PPS in its sole discretion. Although Due Diligence on selected Relocation Sites will occur following execution of a purchase and sale agreement for each such site, the Parties acknowledge that certain Due Diligence may be necessary or desirable as part of the site identification process. Such Due Diligence may include in PPS's sole discretion, but is not limited to, title review, a property and/or capital needs assessment, space planning proposals, a Phase I Environmental Site Assessment and its additional recommended testing (as applicable), zoning analysis, as-built CAD surveys, and ALTA surveys.

Section 4.02. AVT's Due Diligence on PEC.

At such time as shall be set forth for AVT's performance of due diligence on PEC in the Work Plan, AVT shall have a non-exclusive right and license for AVT and AVT's representatives, agents, and contractors to enter upon PEC for the purposes of investigating and inspecting PEC and performing tests, studies and analyses with respect to PEC. However, AVT may not enter PEC without giving PPS's designated representative at least two business days' advance written notice of what tests, studies or analyses AVT intends to have performed and when and where such tests, studies or analyses will be performed. PPS shall have the right to have a representative present for all such activities, and AVT, in making such entry and conducting such tests, studies, and analyses, shall not disrupt the business or occupancy of any of the existing occupants and tenants on PEC. In addition to the foregoing, prior to entering PEC, AVT shall provide to PPS proof of insurance satisfactory to PPS that AVT has in effect, at all times when AVT is authorized to come on PEC, commercial general liability insurance in a minimum amount of $2,000,000, combined single limit per occurrence, insuring AVT against claims for personal injury, death, and

property damage or destruction. PPS shall be named as an additional insured on such policy. AVT agrees to indemnify, defend, and hold harmless PPS and its Related Parties for, from, and against any and all claims, expenses and/or losses (including reasonable attorneys' fees) ("**Claims**") arising out of AVT's exercise of the rights granted by this Section, including, without limitation, any Claims relating to mechanics' or materialmen's liens. AVT agrees, at its expense, to repair any damage to PEC as a result of its activities pursuant to this Section.

ARTICLE 5 – APPROVAL OF CONTRACTS AND EXPENSES.

Section 5.01. Contracts/Expenses.

PPS will provide to AVT a copy of, and its notice of intent to execute, any proposed contracts (including amendments thereto) or documentation supporting proposed expenses for which PPS will seek payment or reimbursement under this Agreement. Subject to Sections 5.02, 5.03 and 8.01 below, prior to executing any such proposed contract (or amendments thereto) or incurring proposed expenses, PPS will obtain AVT's approval. For the avoidance of doubt and subject to Section 5.03 below, AVT's approval pursuant to this Agreement is required for reimbursement.

Section 5.02. PPS's Legal Fees.

Notwithstanding any other provision of this Agreement, the Parties agree that PPS may incur up to $200,000.00 in legal expenses, which are approved for reimbursement by AVT up to that pre-approved amount and which shall be included as a Budget Category (defined below) in the Overall Budget. If additional legal expenses are required to be incurred by PPS to complete the Transactions, such requirement shall be addressed in accordance with Section 6.02 below

Section 5.03. Emergencies.

In the event that PPS, in good faith, determines that immediate action on a proposed contract or other expense requiring AVT approval under Section 6.02 is necessary due to significant and imminent health or safety concerns or other comparable urgent considerations relating to PPS's public charge (each an "**Emergency**"), the period within which PPS must provide notice to AVT and obtain AVT's approval shall be 24 hours. If PPS determines a proposed contract must be executed or other expense incurred due to an Emergency and AVT does not approve, PPS may proceed to execute the proposed contract or incur the proposed expense, and PPS and AVT will submit the dispute for resolution through mediation or binding arbitration pursuant to Section 8.05 below. Notwithstanding the foregoing, if AVT fails to deliver a written notice of objection to an Emergency contract or expense for which a contract is not available within ten (10) calendar days following such request from PPS, AVT shall be deemed to have approved such Emergency contract or proposed expense.

Section 5.04. Pausing Work Already in Progress.

Subject to Article 7 below, AVT may, in its sole discretion and at any time prior to the execution by PPS of a purchase and sale agreement or agreements for Relocation Sites, notify PPS in writing that work associated with already-approved scopes should be paused, and PPS shall pause such work. Any such pause by AVT for any single period of more than one hundred twenty

(120) days, or for any period or periods of more than one hundred eighty (180) days in the aggregate following the date of this Agreement, shall entitle PPS to terminate this Agreement without default in PPS's sole discretion. Upon any such termination, AVT shall immediately reimburse or pay to PPS, as applicable, all Complete Relocation Costs incurred by PPS under and as provided in this Agreement as of such termination date and shall indemnify, defend and hold harmless PPS from and against any Claims resulting from such termination.

ARTICLE 6 – OVERALL BUDGET

Section 6.01. Overall Budget and Budget Categories.

After (or before at the mutual election of the Parties) the identification of Relocation Sites, the Parties will work together in good faith to create an estimated overall budget for the completion of the Transactions that result in an all-in, cost-neutral set of transactions for PPS, which will include all estimated costs associated with the identification, acquisition, design, improvements of, and relocation to, the Relocation Sites, and shall include reasonable general contingency amounts that may be applied to any Budget Category in PPS's reasonable discretion ("**Overall Budget**"). The Overall Budget shall be allocated among various budget categories that shall include, among others, acquisition costs; construction or improvement costs; design costs; permits; relocation costs; FFE acquisition, disposal, and relocation; and other amounts necessary to complete the identification, acquisition, design, improvement, preparation of, and relocation to, the Relocation Sites (individually, a "**Budget Category**" and, collectively, "**Budget Categories**").

Section 6.02. Increase to Overall Budget and Budget Categories.

In the event that PPS determines that additional funds are necessary to complete the identification, acquisition, design, improvements, and/or preparation of and relocation to the Relocation Sites, including legal fees, PPS shall notify AVT in writing, specifying the additional amount required and the reasons for such increase. AVT shall notify PPS in writing of its approval of additional funds or basis for disagreement that additional funds are necessary. Both Parties agree to act in good faith and cooperate with each other to utilize reasonable efforts so that the transactions contemplated by this Agreement are completed within the Overall Budget to the extent reasonably practicable. Notwithstanding the foregoing, PPS shall have the right to use in PPS's discretion contingency amounts contained in the Overall Budget for any Budget Category.

ARTICLE 7 REIMBURSEMENT AND PAYMENT OF COSTS.

Section 7.01. Reimbursement Obligations.

AVT shall reimburse PPS for any and all reasonable costs, which are Complete Relocation Costs, including but not limited to the costs of Third Parties, defined below (so long as the proposed contracts (including amendments thereto) and expenses are in accordance with the Overall Budget approved by AVT or otherwise in accordance with this Agreement).

Section 7.02. Reimbursement Requests; Fund Transfers; Escrows.

Commencing as of mutual execution of this Agreement, PPS shall submit reimbursement requests to AVT on a calendar-quarter basis, with the first reimbursement request including any

amounts incurred by PPS up to that date. Each quarterly reimbursement request shall be submitted by PPS to AVT for reimbursement of eligible costs incurred by PPS or billed to PPS during the immediately preceding quarter not later than thirty (30) days following the conclusion of each respective quarter. Each reimbursement request item must include invoice backup. AVT shall remit payment for each quarterly reimbursement request to PPS within thirty (30) days of receipt of the request. AVT shall reimburse PPS so that the total Transactions are on an all-in cost-neutral basis for PPS. If the Transactions contemplated by this Agreement are not cost neutral and cost PPS excess funds, AVT shall pay to PPS the difference in costs to make the transactions contemplated by this Agreement cost neutral for PPS. PPS shall use best efforts to ensure that the costs it incurs and for which it seeks reimbursement are reasonable and necessary to meet the objectives of Resolution 6861. Notwithstanding the foregoing, in the event of any item of expense incurred by PPS in accordance with the Overall Budget exceeding $250,000.00, PPS may require that AVT transfer funds to PPS to pay such costs when due rather than reimbursing PPS for such payments at the end of the quarter. PPS shall provide AVT with not less than thirty (30) days' advance written notice of the requirement for any such fund transfer, together with reasonable supporting documentation. Furthermore, as a condition to PPS entering into contractual obligations for major capital expenditures such as earnest money and purchase price payments under purchase and sale agreements for Relocation Sites, PPS may require that AVT cause to be deposited funds sufficient for satisfaction of such obligations in escrow with a mutually acceptable escrow agent for disbursement to PPS or its obligee when required to satisfy such obligations pursuant to terms of a mutually acceptable escrow agreement.

Section 7.03. Reimbursement and Payment are Not Contingent on Final Relocation.

Reimbursement and payment of costs under this Agreement are not contingent on the ultimate acquisition of any Relocation Sites. For the avoidance of doubt, Complete Relocation Costs will be limited to PPS's actual and reasonable out-of-pocket costs payable to Third Parties (as defined below) pursuant to the approved Overall Budget and Budget Categories and will not include internal staffing (including contracted general counsel services), overhead or other administrative costs of PPS, but will include costs of PPS's outside legal counsel.

Section 7.04. Availability of Funds.

Notwithstanding anything contained in this Agreement, PPS's obligations to contractually bind itself to third parties for the payment of materially significant expenses under this Agreement (as reasonably determined by PPS) are at all times subject to PPS having reasonable assurances as to the sources and availability of funds for AVT's performance of its obligations under this Agreement.

ARTICLE 8 – MISCELLANEOUS PROVISIONS.

Section 8.01. Third Parties.

PPS shall engage all third-party vendors, consultants, and other professionals to assist with assessment, identification, selection, acquisition, and improvement of and relocation to the Relocation Sites along with the disposition of PEC. These third parties may include but are not limited to: brokers, consultants, project managers, title and escrow companies, appraisers,

contractors, space planners, designers, movers, and attorneys (not including contracted general counsel services) ("**Third Parties**"). The Third Parties will not be subject to AVT's prior approval, but must have demonstrable expertise in the particular scope/area of their engagement.

Section 8.02. Dispute Resolution Related to Cost Reimbursement.

Any disagreement about the reasonableness of any costs for which PPS seeks reimbursement or payment shall be subject to resolution pursuant to Section 8.08.

Section 8.03. Third-Party Work Product.

The Parties shall provide to each other copies of material draft and final versions of reports, consultant deliverables, and terms sheets and binding contracts (i.e., binding letters of intent, purchase agreements with seller of potential Relocation Sites, and due diligence reports), and shall provide to each other copies at predetermined milestones set forth in the Work Plan the site plans, CAD drawings, and cost estimates for identification, selection, acquisition, relocation, consulting, and other services related to the Relocation Sites. If AVT has questions or material concerns, the Parties will work together to consult with Third Parties responsible for the work product to address AVT's questions and material concerns. PPS shall invite an AVT representative to material meetings (where practical) with third-party consultants focused on design and cost estimating of the improvements of the Relocation Sites, and PPS will also invite AVT to material site tours (excluding Executive Sessions of the Board). The Parties shall have no right to review any confidential or proprietary documents or communications, including, but not limited to, those prepared by each party's respective attorneys and communications in Executive Sessions of the Board.

Section 8.04. Requests for Approval.

Whenever PPS is required or elects to obtain the approval of AVT for any matter under this Agreement, such approval shall not be unreasonably withheld or conditioned. If AVT shall not have granted or withheld its approval within fifteen (15) business days after PPS's written request therefor, AVT shall be deemed to have granted such approval; provided, however, that with respect to requests for approval of material contracts valued in excess of $250,000.00, the foregoing time period shall be twenty-five (25) business days.

Section 8.05. Dispute Resolution.

For any dispute, controversy or claim (excluding indemnification obligations) (each a "**Dispute**") arising under this Agreement, the Parties shall comply with the following process:

a. Meet and Confer. AVT and PPS shall meet within ten (10) business days of either Parties' receipt of a Dispute notice from the other to confer and resolve any such Dispute.

b. Mediation. If AVT and PPS are unable to resolve a Dispute during the meet and confer described in Section 8.05(a) above, the Parties shall attempt within ten (10) business days to appoint a mutually acceptable mediator. If AVT and PPS are unable to agree on a single acceptable mediator they shall each, within ten (10) business days, appoint their own representative. These two representatives shall, between them, choose the single mediator. If the

Parties are unable to reach agreement, the mediator shall notify the Parties in writing of the resolution that the mediator deems appropriate. The mediator's opinion shall not be binding on the Parties. The mediation costs, fees and expenses shall be shared equally by the Parties.

c. Arbitration.

1. The Parties shall first attempt mediation as specified in Section 8.05(b) above.

2. If AVT and PPS are unable to resolve a Dispute through mediation, the Dispute shall be submitted to binding arbitration before a qualified arbitrator under JAMS's Streamlined Arbitration Rules and Procedures. The place of arbitration shall be Portland, Oregon. The qualified arbitrator shall decide the issues submitted to them in accordance with the language, commercial purposes, intent and restrictions contained in this Agreement and Resolution 6861. Each Party to the arbitration shall cooperate with one another in the production and discovery of reasonably requested documents relevant to the Dispute. The submission and presentation of arguments shall be made to the qualified arbitrator at the earliest practicable date; and the qualified arbitrator shall unilaterally decide the Dispute in a written opinion which shall be conclusive and binding upon them. The qualified arbitrator shall not have the power to add to, subtract from or otherwise modify the provisions of this Agreement. The ruling and award (if any) of the qualified arbitrator shall be final and not subject to judicial review. Judgment on the award of the qualified arbitrator may be entered in any court having jurisdiction over the Parties against which enforcement of the award is being sought, and any Party may institute judicial proceedings to compel arbitration in accordance with the provisions hereof. The non-prevailing Party in an arbitration under this Section shall be responsible to pay the prevailing Party's attorney fees, costs, including costs of the arbitration.

d. Selection of Arbitrator. There will be one arbitrator. If, within twenty (20) days after a Party invokes arbitration hereunder by written notice to the other Party, the Parties have been unable to agree upon a mutually acceptable arbitrator, they will request that the Portland, Oregon office of JAMS appoint an arbitrator from among its panel of arbitrators, and JAMS then will conduct the arbitration.

e. Exceptions. Any Party may seek temporary equitable relief from any court of competent jurisdiction without being required to arbitrate under these procedures, to the extent that any event or circumstance arises such that the Party would be irreparably injured and no adequate remedy at law would exist for such Party; but the merits of the claims between the Parties that give rise to the need for such equitable relief, including any entitlement to permanent equitable relief, will be determined by arbitration in accordance with the provisions of these procedures.

Section 8.06. No Agency, Joint Venture or Partnership.

It is specifically understood and agreed to by and between the Parties that AVT and PPS hereby renounce the existence of any form of agency relationship, joint venture or partnership express or implied between AVT and PPS and agree that nothing contained herein or in any document executed in connection herewith shall be construed as creating any such relationship between AVT and PPS.

Section 8.07. Further Assurances.

In connection with this Agreement and the transactions contemplated hereby, the Parties hereby agree to execute and deliver such additional documents, instruments, conveyances and assurances and to take such further actions as may be required to carry out the provisions hereof and give effect to the transactions contemplated hereby.

Section 8.08. Failure to Agree.

In the event the Parties, despite reasonable good faith efforts, are unable to reach agreement on any item requiring the Parties' agreement prior to closing of the acquisition of the Relocation Sites, such disagreement shall be subject to conference and mediation under Section 8.05(a) and (b). Failing agreement following such processes, then (a) either Party shall be entitled to terminate this Agreement upon written notice other Party, (b) notwithstanding anything contained in this Agreement to the contrary, neither Party shall be deemed to be in default under this Agreement and such failure to agree shall not be subject to arbitration under Section 8.05(c), and (c) upon such termination, AVT shall pay to PPS for all Complete Relocation Costs incurred to date or subsequently payable by PPS under any contractual obligations entered into by PPS prior to such termination in accordance with the terms of this Agreement, and PPS and AVT shall thereafter have no further rights or obligations under this Agreement. The provisions of this Section 8.08 shall survive termination of this Agreement.

Section 8.09. Default and Remedies.

(a) If either Party shall default in any of the terms or provisions of this Agreement, and such Party shall fail to cure any such default within thirty (30) days following written notice thereof given by the non-defaulting Party, then such non-defaulting Party shall have the right to terminate this Agreement and/or pursue any other right or remedy available at law or in equity, including the right to demand and obtain specific performance; provided, however, the non-defaulting Party shall only be entitled to seek recovery of actual damages which directly result from the defaulting Party's breach, each Party hereby waiving and covenanting not to assert any right to seek or obtain any other damages (including, but not limited to, incidental, consequential, or punitive damages, which are expressly and specifically waived and released by each party) resulting from the other Party's breach. Any portion of the Complete Relocation Costs not paid within thirty (30) days after the due date thereof shall accrue interest at the rate of nine percent (9%) per annum from such due date until paid.

(b) Upon any termination of this Agreement, PPS will be entitled to recover from AVT all Complete Relocation Costs that are due and owing as of such termination or subsequently payable by PPS under any contractual obligations entered into by PPS prior to such termination in accordance with the terms of this Agreement.

(c) The provisions of this Section 8.09 shall survive termination of this Agreement.

Section 8.10. Notices.

Unless otherwise provided, any notice under this Agreement shall be given in writing and shall be deemed effectively given upon the earlier of actual receipt or (a) personal delivery to the

Party to be notified, (b) when sent, if sent by electronic mail during the recipient's normal business hours, and if not sent during normal business hours, then on the recipient's next business day, (c) three (3) business days after deposit with the United States Post Office if by registered or certified mail, return receipt requested, postage prepaid, or (d) on the day guaranteed for delivery if deposited with a nationally recognized overnight courier, delivery charges prepaid and addressed to the Party to be notified at the address below, or at such other address as such Party may designate by ten (10) days' advance written notice to the other Party given in the foregoing manner.

If to AVT:	Albina Vision Trust, Inc. P.O Box 5124 Portland, OR 97208 E-mail: Winta@albinavision.org Attention: Winta Yohannes
with a copy to:	Perkins Coie LLP 1120 NW Couch Street, Tenth Floor Portland, OR 97209 E-mail: DPahl@perkinscoie.com Attention: Douglas Pahl
If to PPS:	501 N. Dixon St. Portland, OR 97227 E-mail: llarge@pps.net Attention: General Counsel
with a copy to:	Snell & Wilmer L.L.P. One East Washington Street Suite 2700 Phoenix, AZ 85004 E-mail: bsarhangian@swlaw.com Attention: Byron Sarhangian

Section 8.11. Headings.

The headings in this Agreement are inserted for convenience or reference only and are in no way intended to describe, interpret, define, or limit the scope, extent or intent of this Agreement or any provision of this Agreement.

Section 8.12. Amendment and Waiver.

Any term of this Agreement and any other agreement, document or instrument entered into in connection herewith or therewith, may be modified or amended and the observance of any term of this Agreement and any such other agreement, document or instrument, may be waived (either generally or in a particular instance and either retroactively or prospectively), with the written consent of the Parties. Any modification, amendment or waiver effected in accordance with this Section 8.12 shall be binding upon the Parties.

Section 8.13. Severability.

Upon such determination that any term or other provision is invalid, illegal or unenforceable, the Parties hereto shall negotiate in good faith to modify this Agreement so as to effect the original intent of the Parties as closely as possible in a mutually acceptable manner in order that the Transactions contemplated hereby be consummated as originally contemplated on an all-in cost-neutral basis to PPS.

Section 8.14. Successors and Assigns.

Except as otherwise provided herein, the terms and conditions of this Agreement shall inure to the benefit of and be binding upon the respective successors and assigns of the Parties. Nothing in this Agreement, express or implied, is intended to confer upon any party other than the Parties hereto (or their respective successors and assigns) any rights, remedies, obligations, or liabilities under or by reason of this Agreement, except as expressly provided in this Agreement.

Section 8.15. Governing Law.

All issues and questions concerning the application, construction, validity, interpretation and enforcement of this Agreement shall be governed by and construed in accordance with the internal laws of the State of Oregon, without giving effect to any choice or conflict of law provision or rule (whether of the State of Oregon or any other jurisdiction) that would cause the application of laws of any jurisdiction other than those of the State of Oregon.

Section 8.16. Submission to Jurisdiction.

The Parties hereby agree that any suit, action or proceeding seeking to enforce any provision of, or based on any matter arising out of or in connection with, this Agreement or the transactions contemplated hereby, whether in contract, tort or otherwise, shall be brought in the United States District Court for the District of Oregon or in the Multnomah County Circuit Court, so long as one of such courts shall have subject-matter jurisdiction over such suit, action or proceeding, and that any case of action arising out of this Agreement shall be deemed to have arisen from a transaction of business in the State of Oregon; subject to the provisions of Section 7.05. Each of the Parties hereby irrevocably consents to the jurisdiction of such courts (and of the appropriate appellate courts therefrom) in any such suit, action or proceeding and irrevocably waives, to the fullest extent permitted by law, any objection that it may now or hereafter have to the laying of the venue of any such suit, action or proceeding in any such court or that any such suit, action or proceeding which is brought in any such court has been brought in an inconvenient form.

Section 8.17. Waiver of Jury Trial.

Each party hereto hereby acknowledges and agrees that any controversy which may arise under this Agreement is likely to involve complicated and difficult issues and, therefore, each such party irrevocably and unconditionally waives any right it may have to a trial by jury in respect of any legal action arising out of or relating to this Agreement or the transactions contemplated hereby.

Section 8.18. Attorneys' Fees.

Each Party shall pay the other Party's reasonable legal costs and attorney's fees incurred in successfully enforcing or defending against the other party with respect to any covenants, terms or conditions of this Agreement. The provisions of this Section 8.18 shall survive any termination of this Agreement.

Section 8.19. Other General Provisions.

Time if of the essence with respect to this Agreement. This Agreement is between AVT and PPS. No other party shall be deemed a third-party beneficiary or have any rights under this Agreement. This Agreement has been reviewed and revised by legal counsel for both AVT and PPS, and no presumption or rule that ambiguities shall be construed against the drafting Party shall apply to the interpretation or enforcement of this Agreement.

Section 8.20. Counterparts.

This Agreement may be executed in counterparts, each of which shall be deemed an original, but all of which together shall be deemed to be one and the same agreement. A signed copy of this Agreement signed with electronic signatures and/or delivered by facsimile, e-mail or other means of electronic transmission shall be deemed to have the same legal effect as delivery of an original signed copy of this Agreement.

Section 8.21. Governance and Additional Terms.

All PPS transactions and contracts remain subject to applicable PPS policies, Board approvals and governing laws.

[SIGNATURES ON FOLLOWING PAGES]

IN WITNESS WHEREOF, the undersigned have duly executed and delivered this Agreement as of the date first written above.

Albina Vision Trust, Inc.

By: _____
Name: _____
Title: _____

IN WITNESS WHEREOF, the undersigned have duly executed and delivered this Agreement as of the date first written above.

School District No. 1J, Multnomah County, Oregon

By: _____
Name: _____
Title: _____

EXHIBIT A

PEC PARCELS

(Legal Descriptions)

EXHIBIT “A”
LEGAL DESCRIPTION

PARCEL I:

Lots 1 and 2, Block 2, and Lots 1 through 18, inclusive, Block 3, DELMER SHAVER'S SECOND ADDITION TO THE CITY OF PORTLAND; Lots 10 through 18, inclusive, Block 18; and Lots 1 through 18, inclusive. Block 19, IRVING'S HARBOR VIEW; and Lots 1 through 9, inclusive, Block 18, ELIZABETH IRVING'S ADDITION TO THE CITY OF EAST PORTLAND, all in the City of Portland, County of Multnomah and State of Oregon, TOGETHER with those portions of vacated North Hancock Street, North Benton Avenue, North Ross Avenue and North Wheeler Place which inured to the above described property by reason of City of Portland Vacation Ordinance No. 142516, recorded October 26, 1976 in Book 1135 page 1212, Multnomah County Records; ALSO a tract of land located in the southwest 1/4 of Section 27, Township 1 North, Range 1 East of the Willamette Meridian, Multnomah County, Oregon, said tract being a portion of North Hancock Street and North Ross Avenue as now vacated by City of Portland Ordinance No. 142516, said tract being more particularly described as follows: Beginning at the intersection of the center line of said North Hancock Street and the center line of said North Ross Avenue; thence South 51°14'00" West along the center line of North Hancock Street, 38.10 feet; thence North 00°06'15" East 60.76 feet to the center line of said North Ross Avenue; thence South 38°43'45" East 47.31 feet to the point of beginning.

EXCEPTING THEREFROM that portion of Lot 1, Block 19, IRVING’S HARBOR VIEW conveyed to the City of Portland for street purposes by deed recorded May 17, 1978 in Book 1263, Page 1743, Deed Records of Multnomah County, Oregon.

PARCEL II:

TRACT A - A tract in Section 27, Township 1 North, Range 1 East of the Willamette Meridian, in the City of Portland, County of Multnomah and State of Oregon, described as follows: Beginning at a point on the South line of North Hancock Street, 155 feet West of the West line of North Flint Street; thence West along said South line 95 feet; thence South 100 feet; thence East 95 feet; thence North 100 feet to the point of beginning;

TRACT B - A tract in Section 27, Township 1 North, Range 1 East of the Willamette Meridian, in the City of Portland, County of Multnomah and State of Oregon, described as follows: Beginning at a point on the West line of North Flint Street which is 100 feet South of the intersection of said West line with the South line of North Hancock Street; thence West parallel with said South street line 339.26 feet to the Northeasterly line of North Wheeler Avenue; thence Southeasterly along said Northeasterly line 124.22 feet to the Southwest corner of Parcel "C" conveyed to Williamsen & Bleid, Incorporated, by deed recorded February 6, 1956 in Deed Book 1768 page 52; thence East along the South line of said Williamsen & Bleid tract 261.51 feet to the West line of North Flint Street; thence North along said West street line 96.74 feet to the point of beginning;

TRACT C - A tract in Section 27, Township 1 North, Range 1 East of the Willamette Meridian, in the City of Portland, County of Multnomah and State of Oregon, described as follows: Beginning at a point on the South line of North Hancock Street 250 feet West of the West line of North Flint Street; thence South 100 feet; thence West 89.26 feet, more or less, to the Northeasterly line of North Wheeler Avenue; thence Northwesterly along said Northeasterly line to the South line of North Hancock Street; thence East to the point of beginning.

PARCEL III:

Lots 1 through 4, inclusive, and Lots 9 through 12, inclusive, all in Block 16, ELIZABETH IRVING'S ADDITION TO THE CITY OF EAST PORTLAND, all in the City of Portland, County of Multnomah and State of Oregon.

EXHIBIT B

RESOLUTION 6861

Resolution No. 6861

Resolution Authorizing PPS to Prepare for the Sale of the Dr. Matthew Prophet Education Center

RECITALS

A. While our commitment to calling out and eradicating systems of oppression is clear in our words, plans, and values, we also know that cultural and institutional racism continues to produce disparities and negatively impact the lives of our students of color, specifically for Black students. Reflecting on our community's vision for PPS, our core values and educational system shifts, along with the acknowledgement of persistent, racialized predictors for student outcomes, we are called to strategically utilize and invest resources in a targeted and culturally responsive manner to achieve racial equity and social justice. Grounded in the belief that culturally specific organizations are uniquely positioned to partner with PPS to support our racial equity and social justice goals, we continue our commitment to partner with culturally specific and multiracial organizations.

B. On June 11, 2020, the PPS Board of Education unanimously approved Resolution 6130. In this resolution, the Board declared that the lives of Black students and our Black community matter and committed to working with the Superintendent and the Portland community to create the conditions for every student, especially our Black and Native students who experience the greatest challenges, to realize the vision of the PPS Graduate Portrait. It further commends the Superintendent and the District's leadership for its bold commitment to center the lived experiences of our students and apply a racial equity and social justice lens to all high-leverage decisions.

C. On May 25, 2021, the PPS Board of Education unanimously approved yet another resolution, Resolution No. 6303. As part of its broader effort to heal historic harms inflicted upon Portland's Black community and begin clearing the way for a nationally precedent-setting, child-centered redevelopment effort in Lower Albina, the Board granted the Albina Vision Trust right of first offer and right of first refusal on the PPS- Dr. Matthew Prophet Education Center (PEC) property.

D. The Albina Vision Trust (AVT) is a nonprofit organization created to steward the neighborhood's rebirth through the thoughtful transformation of the 94-acres of Lower Albina. It is also the largest and most prominent restorative redevelopment effort in the United States of America. The 10.5-acre PEC site is within this 94-acres of Lower Albina

E. Albina was once home to 4 out of every 5 Black families in Portland – a thriving, creative, and affordable neighborhood consisting of Black-owned businesses, homes, and faith institutions. It was the cultural capital of Portland with world-class jazz venues, environmental justice initiatives, and education models created for and by Black Portlanders. Decades of disinvestment, urban renewal, and racist public policy decimated the neighborhood.

F. The Albina Vision is anchored in a comprehensive and long-term commitment to develop a community where honoring the past inspires us to build a better future. In the past 3 years, the organization has broken ground on its inaugural 94-unit affordable housing development in Lower Albina, advanced work on a highway cover project that would reconnect a critical segment of the district bisected by the construction of Interstate 5, begun scoping a waterfront park that would span the distance between the Steel and Broadway Bridges alongside local and regional partners, and earned both the recognition and support of the US Secretary of Transportation for its nation-leading efforts to breathe new life into Black Portlanders' historic home.

G. If our work as educators teaches us anything, it is that true transformation occurs at the intersection of pedagogy and place. Our children must feel rooted in the built space they are born

into, inspired by the structures that meet their eyes when they orient their gaze skywards, and nourished by the communal embrace of neighborhoods that prioritize the well-being and generational mobility of the most marginalized among us.

H. For the descendants of Albina, the historic epicenter of Portland's Black community, the realization of that collectively held dream requires an act of reclamation. The Portland Public Schools headquarters site was built on a parcel seized by prior owners via eminent domain — a plot of land upon which once stood dozens of Black and immigrant-owned, working-class homes.

I. The Portland Public Schools Board of Education acknowledges that the District's real property assets are on the traditional land of the Chinook, Clackamas, Kalapuya, Multnomah, Wasco, Kathlamet, Tualatin, and Molalla tribes. We also know that many other tribes made their homes along the Columbia and Willamette Rivers. We also recognize the robust present-day federally recognized tribes of this area: the Grande Ronde, Siletz and Cowlitz, and the Native American community, representing more than 380 tribes that have made the City of Portland one of the top 25 cities with the largest American Indian/Alaska Native populations*

J. We also acknowledge that federal, state, and local governments supported the invasion and dispossession of Native People's lands and the institutionalized practices of the removal and displacement of Native people from their lands. Additionally, PPS acknowledges that Portland institutions and citizens participated in redlining and structurally organized policies, zoning, and planning that restricted or prevented Black, Indigenous, and communities of color from land ownership and led to their disproportionate displacement through "urban renewal" or gentrification.*

K. With the recognition of our role, we know that as current caretakers of this ancestral land, the District recognizes its fiduciary responsibility to preserve and maintain its real property assets in a manner that will serve current students and future generations.

L. The Portland Public Schools real estate property, Dr. Matthew Prophet Education Center, sits at the center of the lower Albina neighborhood, and is a key to the neighborhood's rebirth towards a youth-centered community.

M. Institutions—especially Portland Public Schools--have a moment, an opportunity to lead, not with race-neutral plans, but with an anti-racist agenda that amplifies an intergenerational healing process among students, their families, and our community.

RESOLVED

Therefore, be it resolved that the Board of Education:

1. Authorizes and directs the Superintendent or designee to establish a timeline not exceeding 12 months from the date of this Resolution for the identification of a New Headquarters site and a New Warehouse site to acquire on, among other terms, an all-in cost-neutral-to-PPS basis in series of transactions that includes a transaction with AVT for its acquisition of 10.5-acre PEC that meets or exceeds the appraised value of the PEC site, all which, must be approved by the Board.

2. Authorizes and directs the Superintendent or designee to finalize the following guiding documents within 60 days of this Resolution:

    a. Create and finalize the Minimum Criteria for the New Headquarters site and the New Warehouse sites. The criteria for each shall include, but not be limited to, that the New Headquarters reside within the District boundaries, the minimum usable square footage (including office and public and staff meeting spaces for administration building), the minimum number of parking spaces, other critical considerations and required District

uses in identifying new sites, and for the New Headquarters, proximity to multi-modal transit. The Minimum Criteria shall be used as the basis for identifying potential sites.

b. Create and finalize a Work Plan in partnership with Albina Vision Trust to guide the tasks, milestones, deliverables, and timeline in order to achieve the objective identified in Paragraph A of this Resolution. The Work Plan tasks and milestones shall be shared with the Board and include but are not limited to the following:

   i. PPS Facilities and Asset Management staff and/or Senior PPS Leadership will provide regular updates at the Facilities and Operations Committee of the School Board. PPS staff will work in good faith, in collaboration with Albina Vision Trust, to create and implement the Work Plan subject to Board approval and inform the Facilities and Operations Committee about the progress towards the objectives identified in Paragraph A of this Resolution.

   ii. Utilization of brokerage/project management and space planning consultant(s) to represent PPS on the acquisition and any potential build-out of the New Headquarters and New Warehouse sites.
   iii. Due diligence requirements for the New Headquarters and New Warehouse sites that are anticipated to include at least: a Property or Capital Needs Assessment, a Phase I Environmental Site Assessment and its additional recommended testing (as applicable), a Zoning Report, and As-Built CAD Surveys.
   iv. Selection of appropriate professionals, including Architect(s) and General Contractor(s), for the design and build-out of any Tenant Improvements, as applicable.
   v. Contracting and procurement plan for all consultants.
   vi. Site Identification Process for the New Headquarters and New Warehouse sites
   vii. Anticipated milestones include but are not limited to:
      1. Term Sheet between PPS and Albina Vision Trust ,
      2. Purchase and sales agreements/other agreements to transact on the Dr. Matthew Prophet Education Center property , the New Headquarters and the New Warehouse .
      3. Operating agreement between PPS and AVT to further define roles and responsibilities of each party and set forth the terms of approval and reimbursement of PPS costs of complying with this Resolution to be shared with and approved by the Board.
      4. Access agreement with Albina Vision Trust on the Dr. Matthew Prophet Education Service Center in order to conduct early property due diligence.
      5. Comprehensive Term Sheet with the Albina Vision Trust to achieve the objective established in Paragraph A of this resolution.
      6. Appraisal of PEC.

3. Recognizes that the varied central services and work occurring in the Matthew Prophet Education Center headquarters supports students and staff across the District and that a replacement facility or facilities need to effectively serve PPS students, staff and the school community.

4. All PPS transactions and contracts remain subject to applicable PPS policies and governing laws.

5. Stands firmly behind the *Albina Vision*, a community-led reinvention and transformation of the 94-acres of lower Albina, from which thousands of primarily Black residents were forcibly displaced over decades of urban renewal. In this effort, we will stand shoulder to shoulder with the AVT and the Black community, to develop a youth-centered community in lower Albina that creates opportunities for Portland's next generation of Black people to learn, build wealth and reclaim home. This reinvention of the Albina neighborhood would also allow for intentional design for the safety of Black and brown children in the urban environment while at the same time providing the housing and community stability that supports education.

6. Stands strongly in its commitment to authentically listen, learn and partner with our community's Black elders and listen to our Black youth to address the cultural and institutional racism that has existed in our system since its inception. This includes Black-led organizations and community-based organizations accountable to Portland's Black community.

7. Commits to affirming our community's long-held belief to lead with a robust Racial Equity and Social Justice agenda to center the lived experiences of our Black students, families, educators, and staff in our actions, decisions, and words.

*Board Policy 8.70.040